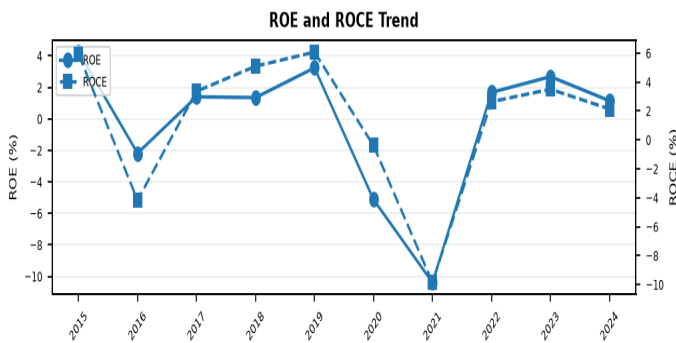
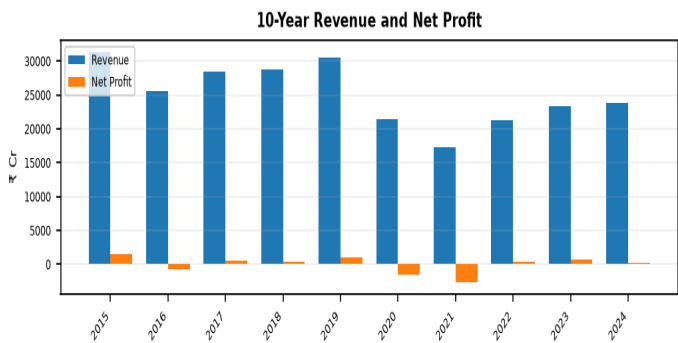
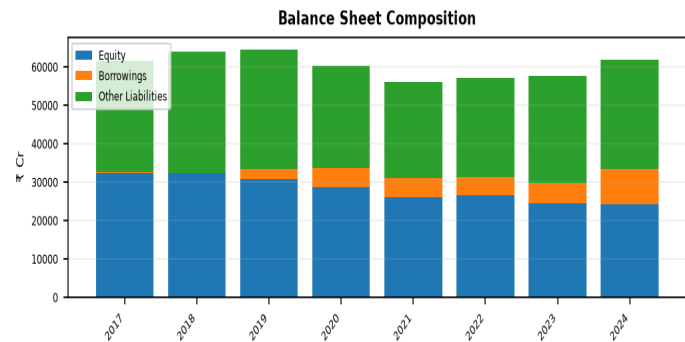


Industrials | Bharat Heavy Electricals Limited is an Indian central public sector undertaking and the largest government-owned electrical/ industrial technology company.

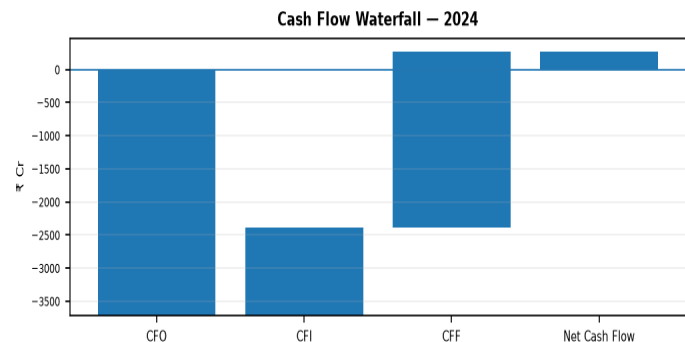
ROE	ROCE	Debt / Equity
1.1%	2.1%	0.36
Revenue CAGR 5Y	PAT CAGR 5Y	Free Cash Flow
-4.7%	-22.4%	■-2,382 Cr



Balance Sheet Composition



Latest-Year Cash Flow



Pros

- Revenue growing slower than profits shows improving operating leverage and scale benefits
- Return on equity improving for 3 consecutive years shows strengthening business quality

Cons

- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Revenue growing at below 5% over 5 years lags inflation and suggests limited business momentum
- Revenue contraction over 2 consecutive years indicates demand weakness or market share loss
- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Earnings per share declining for 3 consecutive years reflects deteriorating profitability
- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk

CAPITAL ALLOCATION: Distress Signal